Hughes Tax Court Appeal - Business Deductions

Petitioner James Hughes challenges the Internal Revenue Service's disallowance of business expense deductions claimed on his 2020 federal income tax return. The petitioner, a self-employed consultant, claimed deductions totaling $85,000 for home office expenses, travel, meals, and entertainment. The IRS disallowed $60,000 of the claimed deductions, asserting the expenses were personal in nature or not adequately substantiated. The IRS issued a notice of deficiency assessing additional tax, interest, and penalties. The petitioner timely filed a petition in Tax Court challenging the deficiency. The petitioner presented evidence including receipts, credit card statements, and testimony regarding the business purpose of the expenses. The petitioner argues all expenses were ordinary and necessary business expenses properly deductible under Section 162 of the Internal Revenue Code. The court finds the petitioner has substantiated $40,000 of the disputed deductions but failed to adequately substantiate the remaining $20,000. The home office deduction is allowed as the space was used exclusively and regularly for business. However, certain travel and entertainment expenses were personal or lacked adequate documentation. The deficiency is reduced accordingly and penalties are abated due to reasonable cause.